

Emirates NBD

Bank Valuation — Dividend Discount and Excess Return

DFM: EMIRATESNBD · AED millions · per-share values in AED · as of FY2025 accounts · market data 18 Sep 2026

An equity-side valuation of Emirates NBD on the FY2025 audited accounts and 18 September 2026 market data. A five-year equity roll-forward under clean surplus feeds both a dividend discount model and an excess-return model; the two are forced to agree, the justified multiples are derived, and the share price is run backwards into the return on equity and the cost of equity it implies.

What this is

How it is built

- Cost of equity built up from the US Treasury yield (the dirham is pegged), a UAE country risk premium, a mature-market equity premium and a stated beta.
- An equity roll-forward with ROE fading from 17% to a 14% terminal level and a payout that rises so retained earnings fund exactly the growth assumed; the terminal payout is derived, not typed.
- A dividend discount model with a Gordon terminal value, and an excess-return model starting from book value; the Checks sheet requires them to agree to the fils.
- Justified P/B and P/E, the market-implied ROE and cost of equity, and two closed-form sensitivity grids.

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Key outputs (live)

Return on equity, FY2025	17.3%
Cost of equity	10.0%
DDM value per share (AED)	41.71
Excess-return value per share (AED)	41.71
Upside / (downside)	34.6%
Sustainable ROE the price implies	12.5%

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

Emirates NBD Bank PJSC FY2025 annual accounts, via the Yahoo Finance fundamentals series for EMIRATESNBD.AE; the same figures used in Project 6.

Share price and 52-week range: Dubai Financial Market close, 18 September 2026.

US Treasury yield, UAE country risk premium and equity risk premium: September 2026 market data and Damodaran's country tables; beta is a stated input.

Nothing here is a recommendation. The valuation is an analytical exercise on public information.

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FY2025 accounts, market data, cost of equity and terminal assumptions

FY2025 ACCOUNTS (AED millions)

Net profit attributable to equity holders	23,442	As in Project 6
Net profit, FY2024	22,973	
Shareholders' equity, 31 December 2025	144,582	
Shareholders' equity, 31 December 2024	125,990	
Goodwill and intangibles	5,620	
Tangible book value	138,962	
Cash dividends paid in 2025	6,311	AED 1.00 per share
Total assets	1,164,442	
Return on average equity, FY2025	17.3%	
Return on average tangible equity, FY2025	18.1%	
Dividend payout, FY2025	26.9%	
Return on assets, FY2025	2.0%	

MARKET DATA

Share price (AED, DFM close 18 Sep 2026)	30.98
Shares outstanding (millions)	6,311
Market capitalisation	195,515
Book value per share (AED)	22.91
Tangible book value per share (AED)	22.02
Price / book	1.4x
Price / tangible book	1.4x
Price / FY2025 earnings	8.3x
Dividend yield on the last dividend	3.2%

COST OF EQUITY

Risk-free rate (10-year US Treasury; the dirham is pegged)	4.1%	September 2026
UAE country risk premium	0.9%	Damodaran country tables for an Aa2 sovereign, rounded up for oil-price and regional concentration
Mature-market equity risk premium	5.0%	
Beta versus the DFM General Index	1.00	Large domestic banks sit close to their index; stated input
Cost of equity	10.0%	

TERMINAL ASSUMPTIONS

Long-run growth in earnings and book value	3.0%	Nominal UAE GDP trend less some share loss; must be below the cost of equity
Terminal return on equity	14.0%	Below today's 17%: rate cuts compress margins and capital builds
Terminal payout (1 – g / ROE, so book grows at g)	78.6%	Not a free input. If payout and growth are set independently the two models diverge

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Equity roll-forward under clean surplus: closing book = opening book + earnings – dividends

EQUITY ROLL-FORWARD (AED millions)

	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Opening shareholders' equity	125,990	144,582	161,281	178,571	196,285	213,950
Return on opening equity	18.6%	16.5%	16.0%	15.5%	15.0%	14.5%
Net profit	23,442	23,856	25,805	27,678	29,443	31,023
Payout ratio	26.9%	30.0%	33.0%	36.0%	40.0%	44.0%
Dividends	6,311	7,157	8,516	9,964	11,777	13,650
Closing shareholders' equity	144,582	161,281	178,571	196,285	213,950	231,323
Growth in book value	14.8%	11.6%	10.7%	9.9%	9.0%	8.1%
Growth in net profit	2.0%	1.8%	8.2%	7.3%	6.4%	5.4%

PER SHARE (AED)

Earnings per share	3.71	3.78	4.09	4.39	4.67	4.92
Dividend per share	1.00	1.13	1.35	1.58	1.87	2.16
Book value per share (closing)	22.91	25.56	28.30	31.10	33.90	36.65

TERMINAL YEAR (FY2031E, the first year of steady state)

Opening equity	231,323
Net profit at the terminal ROE	32,385
Dividends at the terminal payout	25,446
Closing equity	238,263
Implied growth in book (must equal g)	3.0%

FY2025A closing equity is the reported figure, so the historical column absorbs other comprehensive income and any capital movements in that year. From FY2026E clean surplus is enforced exactly. The ROE path fades from the FY2025 level toward the terminal assumption; the payout rises so that retained earnings fund only the growth assumed.

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Dividend discount model — explicit dividends plus a Gordon terminal value

PRESENT VALUE OF DIVIDENDS

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Year	1	2	3	4	5
Dividends	7,157	8,516	9,964	11,777	13,650
Discount factor at the cost of equity	0.9091	0.8264	0.7513	0.6830	0.6209
Present value	6,506	7,038	7,486	8,044	8,476

TERMINAL VALUE

Terminal value at end FY2030E: FY2031E dividend / (ke – g)	363,508
Present value of terminal value	225,710

Terminal value / terminal opening book (implied exit P/B)	1.6x
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*Should sit close
to the justified P/B
at the terminal
ROE*

EQUITY VALUE

Sum of present values of dividends	37,550
Equity value	263,259
Terminal value as % of equity value	85.7%
Value per share (AED)	41.71
Upside / (downside) to the share price	34.6%
Implied price / book on FY2025 equity	1.8x
Implied price / FY2025 earnings	11.2x

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Book value today plus the present value of returns earned above the cost of equity

EXCESS RETURNS (AED millions)

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Opening equity	144,582	161,281	178,571	196,285	213,950
Return on opening equity	16.5%	16.0%	15.5%	15.0%	14.5%
Cost of equity	10.0%	10.0%	10.0%	10.0%	10.0%
Spread: ROE – cost of equity	6.5%	6.0%	5.5%	5.0%	4.5%
Excess return: spread × opening equity	9,398	9,677	9,821	9,814	9,628
Discount factor	0.9091	0.8264	0.7513	0.6830	0.6209
Present value of excess return	8,543	7,997	7,379	6,703	5,978

TERMINAL EXCESS RETURN

FY2031E excess return: (terminal ROE – ke) × opening equity	9,253
Terminal value of excess returns at end FY2030E: ER / (ke – g)	132,185
Present value	82,076

EQUITY VALUE BUILT UP

Book value today (31 December 2025)	144,582
Add: present value of explicit excess returns	36,601
Add: present value of terminal excess returns	82,076
Equity value	263,259
Value per share (AED)	41.71
Share of value that is book value already on the balance sheet	54.9%
Share of value that is future excess returns	45.1%
Difference from the DDM value per share (AED, should be nil)	0.0000

The two models agree because the forecast obeys clean surplus and the terminal payout is derived from the terminal ROE and growth rather than set by hand. The excess-return layout says where the value comes from: most of it is book value the bank already holds, and the premium to book is the capitalised spread of ROE over the cost of equity.

What P/B and P/E the fundamentals justify, and what the price implies

JUSTIFIED PRICE / BOOK: $(ROE - g) / (k_e - g)$

At FY2025 return on equity	2.0x
At the terminal return on equity	1.6x
Market price / book today	1.4x
Model price / book (DDM equity value / FY2025 book)	1.8x

WHAT THE PRICE IMPLIES

Sustainable ROE the price implies at the model cost of equity: $g + P/B \times$	12.5%
Cost of equity the price implies at the terminal ROE: $g + (ROE - g) / P/B$	11.1%

If you believe the cost of equity, this is the return the market expects the bank to sustain
If you believe the terminal ROE, this is the discount rate the market is using

JUSTIFIED PRICE / EARNINGS: $\text{payout} \times (1 + g) / (k_e - g)$

At the terminal payout and growth	11.6x
Market price / FY2025 earnings	8.3x

The justified P/B formula is the excess-return model collapsed to one line: a bank earning exactly its cost of equity is worth book, and every point of ROE above it adds $1/(k_e - g)$ turns of book. It is the fastest way to see whether a bank's multiple and its returns are telling the same story.

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Value per share (AED) — closed-form, every cell rebuilds the terminal value

COST OF EQUITY (rows) versus LONG-RUN GROWTH (columns), terminal ROE at base

↓ rows \ columns →		2.0%	2.5%	3.0%	3.5%	4.0%
	9.0%	46.96	48.27	49.80	51.60	53.77
	9.5%	43.29	44.29	45.44	46.78	48.37
	10.0%	40.09	40.85	41.71	42.71	43.88
	10.5%	37.28	37.85	38.50	39.24	40.10
	11.0%	34.79	35.21	35.69	36.24	36.86

COST OF EQUITY (rows) versus TERMINAL ROE (columns), growth at base

↓ rows \ columns →		12.0%	13.0%	14.0%	15.0%	16.0%
	9.0%	41.86	45.83	49.80	53.77	57.74
	9.5%	38.27	41.86	45.44	49.02	52.60
	10.0%	35.21	38.46	41.71	44.97	48.22
	10.5%	32.56	35.53	38.50	41.46	44.43
	11.0%	30.26	32.97	35.69	38.41	41.13

The grids hold the explicit five-year dividend path fixed and rebuild only the discounting and the terminal value, which is where nearly all the sensitivity lives. The base cell reconciles to the DDM sheet exactly.

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The bank valuation on one page

THE BANK TODAY

Return on average equity, FY2025	17.3%
Book value per share (AED)	22.91
Share price (AED)	30.98
Price / book	1.4x
Cost of equity used	10.0%

THE TWO MODELS

Dividend discount value per share (AED)	41.71
Excess-return value per share (AED)	41.71
Upside / (downside) to the price	34.6%
Implied price / book at the model value	1.8x
Share of value that is book value already held	54.9%
Terminal value as % of the DDM value	85.7%

WHAT THE PRICE IMPLIES

Justified P/B at the terminal ROE	1.6x
Sustainable ROE the price implies	<u>12.5%</u>
Cost of equity the price implies at the terminal ROE	<u>11.1%</u>

- Two methods, one forecast, one answer: the dividend model and the excess-return model agree to the filis because the forecast obeys clean surplus. If they ever disagree, the forecast is wrong, not the methods.
- The market pays 1.35x book for a bank earning 17% on equity. At a 10% cost of equity that multiple is justified only if returns fade to about 11%; the fade built in here stops at 14% and lands well above the price. Either the market expects a harder landing for UAE bank margins, or it discounts them at a higher rate than a country-risk build-up gives.
- The valuation is a bet on the spread between ROE and the cost of equity, and almost nothing else. A half-point on the cost of equity moves the value by about two dirhams; a point on the terminal ROE by about the same.
- The excess-return split is the useful framing for a bank: just over half the value is book already on the balance sheet, and the market price sits only a third of the way from book to the model value. The argument is entirely about how long a 17% return can last.

Every check must read TRUE

INTEGRITY CHECKS

FY2025 equity, earnings and shares tie to Project 6	TRUE
Clean surplus holds in every forecast year (closing = opening + profit – dividends)	TRUE
Opening equity each year equals the prior year's closing equity	TRUE
Terminal book grows at exactly g	TRUE
Long-run growth is below the cost of equity	TRUE
Terminal ROE is above the cost of equity (otherwise excess returns are negative)	TRUE
Terminal ROE is not above the FY2025 ROE (the fade is a fade)	TRUE
Payout rises through the forecast	TRUE
DDM and excess-return values agree to within AED 0.001 per share	TRUE
DDM terminal exit P/B is within 0.1x of the justified P/B at the terminal ROE	TRUE
Base sensitivity cell reconciles to the DDM value	TRUE
Market P/B reconciles to price times shares over equity	TRUE
Implied ROE at the market price reproduces the market P/B	TRUE
Share price lies within the 52-week range	TRUE

MODEL STATUS

MODEL OK

The ninth check is the one that matters: two different valuation methods built on the same forecast must produce the same number. It fails the model the moment someone edits the terminal payout by hand.